Stantec Inc. (TSX/NYSE: STN) — Valuation Summary

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Valuation	Value	
Current share price (C$)	$96.25	
DCF value per share (C$)	$138.00	
Upside / (downside)	43.4%	
Verdict	**Undervalued**	*Within ±10% of price = fairly valued*
Sensitivity range: low (C$)	$78.94	
Sensitivity range: high (C$)	$146.25	
Comps-implied value per share (C$)	$112.04	

Key assumptions	Value
Net revenue growth, 2026 → 2030	10% → 5%
Admin & marketing % of net revenue	37.5%
WACC	7.3%
Terminal growth	2.5%

Why it could be worth more

- Backlog of $8.6 billion at Dec 31, 2025, about 13 months of work already signed.
- Margins improving: admin & marketing fell from 39.0% to 37.8% of net revenue in 2025.
- Strong cash conversion: 2025 operating cash flow of $862.9M vs. net income of $479.4M.
- Modest debt: net debt to adjusted EBITDA of 1.3x, inside management's 1.0–2.0x range.

Risks

- About 52% of 2025 net revenue came from the US, so US spending and the exchange rate matter.
- Growth relies partly on acquisitions (3.9 points of 2025's 10.7% growth), which must be integrated well.
- Much of the work depends on public infrastructure budgets.

Source for figures above: Stantec Q4 and full-year 2025 results release (Feb 25, 2026).